Chapter Twelve

Disinvestment without Conviction

From Investment to Disinvestment

In the 1990s, once the era of economic liberalization started, the policy on public-sector enterprises got reset from investment to disinvestment. In 1991–92 itself, minority stakes in thirty-one Public Sector Undertakings (PSUs) were disinvested for an amount of Rs 3038 crore. The policy of minority stake sale continued throughout the 1990s, with some amount being raised in eight out of nine years until 1999–2000.

The first Disinvestment Commission was established in 1996 to place the process on a more serious footing, including considering cases for ‘strategic sale’ (another name for real privatization, with the government selling majority stake in the CPSE and it becoming a private entity thereafter). A separate Department of Disinvestment was set up in 1999.

The first strategic sale/privatization transaction took place in 1999–2000 when the government realized the first consideration of Rs 105.45 crore. The strategic sale was the policy of the government during the first NDA term when the bulk of privatization that has taken place until today was concluded. Major CPSEs like Bharat Aluminium (BALCO), CMC Ltd, Hindustan Zinc, Indian Petrochemicals Corporation Ltd (IPCL), Maruti Suzuki and Videsh Sanchar Nigam Ltd (VSNL) were privatized. This policy was stalled when the UPA government came to power in 2004 with the government reverting to minority stake sale. No privatization transaction took place in the ten years of the UPA government (2004–2014).

The NDA government reverted to the policy of strategic sale in 2015 and has attempted a few transactions. However, there has not been a single